

short run aggregate supply (SRAS) curve would be upward-sloping. The long run aggregate supply curve (LRAS), however, will be vertical. Any change in the production capacity of the economy will shift the LRAS curve.

In Fig. 3.9 we depict the AD curve and an upward-sloping AS curve. The equilibrium in the economy is described by point E corresponding to output Y_0 and prices P_0 . Suppose there is a favourable demand shock to the economy so that the AD curve shifts to AD_1 . As a result, there are increases in both output and prices. The new equilibrium described by point F corresponds to output Y_1 and prices P_1 . The increase in output however will be temporary and output will be back at the LRAS level in the long run.

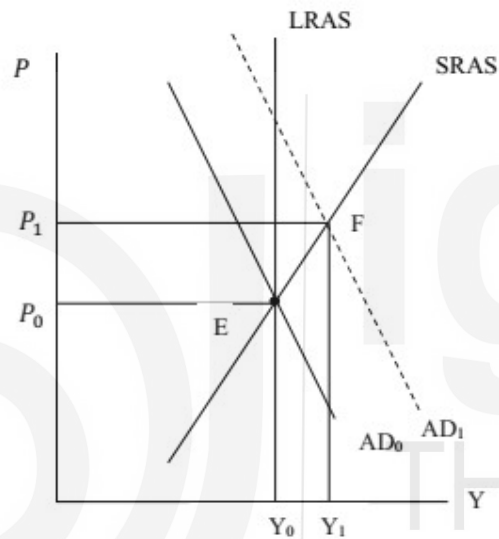


Fig. 3.9: Impact of Demand Shock

Check Your Progress 3

- 1) Explain how the AD curve is derived?

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- 2) Point out the factors that influence the position and slope of the AD curve.

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3.6 LET US SUM UP

In this Unit we described the IS-LM model, which signify the equilibrium in the real sector and the monetary sector of the economy. We derived the IS curve – on each and every point of the IS curve the real sector is in equilibrium. On the left side of the IS curve there is excess demand for goods while on the right side there is excess supply. The LM curve is the combination of all such points where the monetary sector of the economy is in equilibrium. On the right side of the LM curve, there is excess demand for money while on the left side there is excess supply of money. If the economy is operating at a point away from the IS and LM curves, it has a tendency to move towards the equilibrium point.

We derived the AD curve on the basis of IS-LM model. The AD curve traces the combinations of equilibrium output and prices. The equilibrium output and prices in the economy derived from the AS-AD model is also discussed.

3.7 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) It will affect both the intercept and slope of the IS curve. Look into equation (3.4). Decrease in the marginal propensity to consume (coefficient 'b') will lead to a decrease in the value of the intercept term. Look into the last term of the equation. It will increase the value of $\frac{e}{(1-b-d)}$. Thus, the IS curve will be steeper.
- 2) (i) Decrease in autonomous government expenditure will lead to a parallel downward shift in the IS curve to the left.
(ii) Decrease in lumpsum tax will lead to a parallel upward shift in the IS curve. But the question is about decrease in tax rate, which depends on income (Y). Thus, it will affect the slope of the IS curve. The IS curve will become flatter (why? You can take a tax function $T = t_0 + t_1Y$, substitute it in place of T in equation (3.4) and find out).

Check Your Progress 2

- 1) The LM curve is derived from the equality between the demand for and supply of real balances. See Section 3.3, particularly Fig. 3.3.
- 2) When the LM curve is vertical, demand for money is insensitive to interest rate. This is a case of liquidity trap situation.
- 3) Go through Sub-Section 3.4.3 and answer.

Check Your Progress 3

- 1) The AD curve is derived from the IS-LM model. Go through Sub-Section 3.5.1 and explain Fig. 3.8.

- 2) Since the AD curve is derived from the IS-LM model, it depends on the factors that influence the IS and LM curves. Explain the impact of these factors on the AD curve.

